# EXECUTIVE SUMMARY

## I. Introduction

### Agency Profile

Old folks in Amulung claim that the place got its name from a vine, which was then abundant in the forest. Natives called this vine "Am-a-mulung". Since then, the place came to be known as Amulung up to its operation as a Municipality on December 15, 1734.

Amulung is 26 kilometers north of Tuguegarao City and could be reached in 35 minutes by land transportation. It has 47 barangays and classified as a second ($2^{nd}$) class Municipality, covering an area of 24,220 hectares and populated by about 42,754 inhabitants.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the Local Government units to include not only on the ability to create sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the National Government's thrust for sustainable social and economic development.

## II. Scope of Audit

The audit covered the accounts and operations of the Municipality of Amulung, Cagayan for the year 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

## III. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Amulung, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

| Particulars | 2023 | 2022 | Increase/ (Decrease) |
|---|---|---|---|
| **Financial Position** | | | |
| Assets | 839,104,271.13 | 913,953,856.80 | (74,849,585.67) |
| Liabilities | 98,721,708.06 | 152,704,326.01 | (53,982,617.95) |
| Government Equity | 740,382,563.07 | 761,249,530.79 | (20,866,967.72) |

| Particulars | 2023 | 2022 | Increase/ (Decrease) |
|---|---|---|---|
| **Financial Performance** | | | |
| Income | 240,372,275.13 | 403,990,440.93 | (163,618,165.80) |
| Expenses | 298,106,768.52 | 317,910,297.16 | (19,803,528.64) |
| Net Income | (57,734,493.39) | 86,080,143.77 | (143,814,637.16) |

## IV. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

| Name of Program/ Project/ Activity | Amount |
|---|---|
| Construction of New Public Market | 6,989,598.59 |
| Construction of Public Market Phase 1 and Phase 2 | 5,997,005.71 |
| Construction of Two Storey 6CL Building at Gabut Integrated School Phase 1 | 4,998,770.41 |
| Concreting of Dadda-Pinicon Farm to Market Road (Pinicon)/No Municipality Left Behind Counterpart | 4,991,127.49 |
| Construction of Baccuit 6CL 2 Storey Building Elementary School Phase 2 | 4,138,519.04 |
| Construction of 6CL 2-Storey Building at Baccuit E/S Phase 1 | 3,618,927.54 |
| Installation of Streetlighting System-continuation | 3,198,693.26 |
| Concreting of Dadda (Burubur) Farm to Market Road | 2,997,392.34 |
| Concreting of Masical (Bangloy) Farm to Market Road | 2,500,000.00 |
| Concreting of Masical Waig Farm to Market Road | 2,493,834.68 |
| Concreting of Bayabat (Blue Hawaii Farm to Market Road) | 2,288,024.53 |
| Improvement and Construction of Extension of MDRRM Building | 6,989,598.59 |
| **Total** | **44,211,893.59** |

## V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Amulung, Cagayan for the year-ended December 31, 2023 due to: (1) unreconciled variance of P68,669,414.34 between the Financial Statement and Report on Physical Count of Property, Plant and Equipment; and (2) overstatement of depreciation expense and accumulated depreciation amounting to P5,044,750.10.

## VI. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2023 other than the bases for the modified opinion that needs immediate attention and action by the Municipality of Amulung, are as follows:

1. **The Municipality failed to implement twelve (12) programs/projects/activities (PPAs) with a total appropriation of P45.187 million, funded under the 20% Development Fund (DF) of the LGU as at year-end, contrary to DBM-DOF-DILG Joint Memorandum Circular No. 1 dated November 4, 2020; thus, depriving its constituents of the socio-economic benefits enjoyed if these projects were implemented as planned.**

   We recommended that the Management:
   a) ensure that all identified development projects embodied in the Annual Investment Programs are supported with concrete plans and designs to facilitate timely implementation of PPAs;
   b) prepare a holistic and comprehensive but realistic catch-up plan, after conducting proper monitoring and follow-up activities to timely detect issues and concerns affecting implementation; and
   c) consider the need for reprogramming of the PPAs from prior years' appropriations to ultimately achieved the objectives of the PPAs.

2. **Bank Reconciliation Statements (BRS) were judiciously prepared and submitted on a monthly basis, which is consistent with existing accounting rules and regulations. However, the accounting and treasury records for checks disbursements showed a discrepancy amounting to P1.180 million.**

   We recommended that the Management require the Municipal Accountant and Municipal Treasurer: (a) to coordinate with each other and review the discrepancy noted between their respective records, and (b) to regularly reconcile the check disbursement journal and report of checks issued at month end, all to ensure that check disbursements are recorded properly and facilitate fair presentation of cash accounts balances.

3. **The LDRRM Fund amounting to P11.054 million was not optimally utilized for CY 2023 and only the amount of P2.298 million or 21 percent of such fund was utilized for CY 2023; thus, the objectives of strengthening the capacity of the LGU to build the disaster resilience of communities and enhance disaster preparedness and response capabilities at all levels may not be attained.**

   We recommended that the Management through the MDRRMO, together with the concerned implementing offices, enforce the full implementation of the unimplemented PPAs of the LDRRMFIP to achieve the objectives for the provision of the DRRM fund.

We further recommended Management that, in the event that said PPAs shall be determined to be not viable after the conduct of close monitoring and evaluation, consider the reprogramming of PPAs and prepare and submit an amended LDRRMFIP for approval by the Sangguniang Bayan, to maximize the utilization of funds of the LGU.

## VII. Summary of Total Suspensions, Disallowances and Charges

| Particulars | Beginning Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| **Suspensions** | | | | | |
| Prior Years | - | - | - | - | |
| Current Year | - | - | - | - | |
| Total | - | - | - | - | |
| **Disallowances** | | | | | |
| Prior Years | 13,607,345.54 | - | - | 13,607,345.54 | 0.00% |
| Current Years | - | - | - | - | |
| Total | 13,607,345.54 | - | - | 13,607,345.54 | 0.00% |
| **Charges** | | | | | |
| Prior Years | - | - | - | - | |
| Current Years | - | - | - | - | |
| Total | - | - | - | - | |

## VIII. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2022 Annual Audit Report are summarized as follows:

| | | |
|---|---|---|
| Implemented | | 14 |
| Not Implemented | 0 | |
| Partially Implemented | 1 | 1 |
| **Total** | | **15** |